

Industrial development was mainly confined to cotton, jute industries and tea plantations in the 19th century, and to sugar and cement in the 1930s. There had been some development of the iron and steel industry after 1907, but as late as 1946, cotton and jute textiles accounted for nearly 30 per cent of all workers employed in factories and more than 55 per cent of the total value added by manufacturing.

The share of modern industries in national income at the end of British rule was only 7.5 per cent. In terms of production as well as employment, the modern industrial development of India was insignificant as compared with the economic development of other countries or in keeping with the requirements of India's economic development. In 1950, out of a population of 357 million only 2.3 million were employed in modern industries.

Check Your Progress 1

- 1) State the reasons for disruption of the traditional economy of India during the British period.

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- 2) Identify the reasons for increase in poverty and deterioration of agriculture in the 19th century.

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- 3) State the reasons for destruction of the Indian indigenous industry in the 18th century.

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- 4) In what way were Indian enterprises discriminated during the development of modern industries in the early 20th Century?

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1.4 DRAIN OF WEALTH

There was the drain of India's wealth to Britain. It was the unilateral transfer of social surplus and potential investable capital by the colonial state and its officials and foreign merchants to Britain. This transfer happened through the sale of "Council Bills", which were sold in London in sterling to purchasers of Indian goods who received Indian rupees in exchange.

The process of the economic drain actually started after 1757. The East India Company ceased to export bullion to Bengal as of that year, although some marginal export of bullion occurred to other places. All the purchases in Bengal and other parts of India were made out of the surplus of the territorial revenue of Bengal. The part of revenue devoted to such purchases was known as 'investment'. Later more components got added to this economic drain. Montgomery Martin who made a survey of the condition of the people of Bengal and Bihar from 1806 to 1816 realised the enormity of the economic drain. He concluded: "The annual drain of £3,000,000 on British India has amounted, in thirty years at twelve per cent (the usual Indian rate) compound interest, to the enormous sum of £723,000,000 sterling....So constant and accumulating a drain, even in England, would soon impoverish her." (adopted from William Digby, *Prosperous British India* p.223). Nearly one century later, William Digby too concluded that the primary cause of India's deplorable condition was the Economic Drain. The view of William Digby was that the total drain amounted to £60,080 millions up to the end of the 19th century (p.230).

There were several components of this drain of wealth. These were interest on foreign debt incurred by the East India Company, military expenditure, guaranteed return on foreign investments in railways, irrigation, road transport and finally, "home charges" or paying for the secretary of state and his establishment at the India Office in London, as well as pay and pension of civilian and military personnel. It has been estimated that 5 to 10 per cent of the total national income of India was in a way unilaterally exported out of the country. To find out the real cause of poverty in India, more than hundred years ago, Dadabhai Naoroji in his '*Poverty and Un-British Rule in India*' (1876) developed explicitly a 'drain theory' and according to him, this 'economic drain' by the alien ruler was "potential surplus" that could have supported domestic capital formation, generating economic expansion, had it been invested in India.

1.5 POVERTY AND FAMINES

The consequence of colonial underdevelopment was pauperisation of people, especially the peasantry and the artisans. British economic exploitation, the decay of indigenous industries, the failure of modern industries to replace them, high taxation, the drain of wealth to Britain, and a regressive agrarian structure leading to stagnation of agriculture and exploitation of poor peasants by zamindars, landlords, and moneylenders reduced Indian people to extreme poverty.

A series of famines that ravaged all parts of India in the second half of the 19th century contributed significantly to the incidence of poverty and deprivation in the country. There were regular scarcities and minor famines in one or the other part of the country throughout the British rule. In 1770, a third of the population of Bengal reportedly died in a famine. In 1865-66 a famine engulfed Odisha,

Bengal, Bihar and Madras and took a toll on nearly two million lives with Odisha alone losing one million people. Between 1876 and 1878, 4 million people died, mainly in Bombay and Madras Presidencies. In 1897-97, more than 5 million perished. Apart from these major famines, many other local famines and scarcities occurred. William Digby, a British writer, estimated that in all over 28.8 million people died during famines from 1854 to 1901. Another famine in 1943 accounted for nearly a million people in Bengal. These famines and the high losses of life indicate the extent to which poverty and hunger had taken root in India.

The grim reality of India's poverty during the 19th century was recognised by many English officials. "I do not hesitate to say," remarked Charles Elliott, a member of the Governor-General's Council, "that half the agricultural population do not know from one year's end to another what it is to have a full meal." William Hunter, the compiler of the Imperial Gazetteer, conceded that "forty million of the people of India habitually go through life on insufficient food." (*British rule in India: Condemned by the British Themselves*, issued by the Indian National Party, London, p.67). "Why is it India" remarked William Digby, "is more liable to devastation by famine than are other countries? – *because India is steadily and rapidly growing poorer.*" (ibid.p.140)

In the 20th century the situation became worse. The quantity of food available to an Indian declined by as much as 29 per cent in the 30 years between 1911 and 1941. India along with China had the lowest per capita incomes during the period 1925-34 as per the estimates of Colin Clark, whereas, the per capita income in England was five times that of India. Moreover, the life expectancy of an Indian during the 1930s was only 32 years while most of the West European and North American countries, enjoyed a life expectancy of over 60 years already.

Check Your Progress 2

- 1) What do you understand by the term 'drain of wealth'? State the process of drain of wealth followed during the British period.

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- 2) Explain how a series of famines that occurred during the period 1770 to 1943 may have contributed to pauperisation of Indian people.

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